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Cleveland Bar Assn. v. Para-Legals, Inc., 106 Ohio St.3d 455, 835 N.E.2d 1240 (2005)

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Cleveland Bar Assn. v. Para-Legals, Inc.

upreme Court of Ohio. • November 2, 2005 • 106 Ohio St.3d 455 • 835 N.E.2d 1240 • 2005 -Ohio- 5519 • (Approx. 8 pages)

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Distinguished by [Disciplinary Counsel v. Kafele](#), Ohio, March 15, 2006

106 Ohio St.3d 455
Supreme Court of Ohio.

CLEVELAND BAR ASSOCIATION
v.
PARA-LEGALS, INC. et al.

No. 2004-2145.
Submitted June 15, 2005.
Decided Nov. 2, 2005.

Notes

Outlines

Litigation Document Analyzer

Synopsis

Background: Bar association charged company, its principal, and employee with engaging in the unauthorized practice of law.

Holdings: The Supreme Court held that:

- 1 company, which had been formed to provide legal research, document preparation, and other ancillary services, and principal engaged in the unauthorized practice of law by attempting to represent Florida corporation in municipal court through the sham authority of a power of attorney;
- 2 employee engaged in the unauthorized practice of law by preparing legal documents for another for filing in domestic relations court without a licensed lawyer's oversight; and
- 3 unauthorized practice of law warranted injunctive relief.

Judgment accordingly.

O'Donnell, J., filed a concurring opinion.

West Headnotes (5)

1 Attorneys and Legal Services

With few exceptions, the unauthorized practice of law occurs when a layperson renders legal services for another, including the management of actions and proceedings on behalf of clients before courts of law.
[Government of the Bar Rule VII\(2\)\(A\).](#)

46H Attorneys and Legal Services

46H11 Admission to Practice; Licensure of Attorneys

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3 Cases that cite this headnote

- [46Hk83](#) Licensed; Unauthorized Practice of Law
- [46Hk85](#) Prohibited and Permitted Acts in General
Representation of others in general
(Formerly 45k12(5), 45k11(2.1) Attorney and Client)

2 Attorneys and Legal Services

The unauthorized practice of law includes the preparation for another of legal pleadings and other papers by a layperson without the supervision of a licensed attorney.

2 Cases that cite this headnote

-  [46H](#) Attorneys and Legal Services
- [46HII](#) Admission to Practice; Licensure of Attorneys
- [46HII\(C\)](#) Practitioners Not Admitted or Licensed; Unauthorized Practice of Law
- [46Hk83](#) Prohibited and Permitted Acts in General
- [46Hk87](#) Drafting or preparation of documents
(Formerly 45k12(7), 45k11(3) Attorney and Client)

3 Attorneys and Legal Services

Company formed to provide legal research, document preparation, and other ancillary services and company's principal engaged in the unauthorized practice of law by attempting to represent Florida corporation in municipal court through the sham authority of a power of attorney.

1 Case that cites this headnote

-  [46H](#) Attorneys and Legal Services
- [46HII](#) Admission to Practice; Licensure of Attorneys
- [46HII\(C\)](#) Practitioners Not Admitted or Licensed; Unauthorized Practice of Law
- [46Hk83](#) Prohibited and Permitted Acts in General
- [46Hk85](#) Representation of others in general
(Formerly 45k12(5), 45k11(2.1) Attorney and Client)

4 Attorneys and Legal Services

Employee of company formed to provide legal research, document preparation, and other ancillary services engaged in the unauthorized practice of law by preparing legal documents for another for filing in the domestic relations court without a licensed lawyer's oversight.

1 Case that cites this headnote

-  [46H](#) Attorneys and Legal Services
- [46HII](#) Admission to Practice; Licensure of Attorneys
- [46HII\(C\)](#) Practitioners Not Admitted or Licensed; Unauthorized Practice of Law
- [46Hk90](#) Particular Areas of Practice
- [46Hk104](#) Family law and domestic relations
(Formerly 45k12(21), 45k11(3) Attorney and Client)

5 Attorneys and Legal Services
Injunction

-  [46H](#) Attorneys and

Unauthorized practice of law by company formed to provide legal research, document preparation, and other ancillary services, company's principal, and its employee warranted injunctive relief, rather than civil penalty; company, principal, and employee had practiced law without a license only a minimal number of times and had apparently stopped advertising their unlawful services shortly after bar association filed the complaint against them. Government of the Bar Rule VII(8)(B)(1-5) .	46HII	Admission to Practice; Licensure of Attorneys
	46HII(C)	Practitioners Not Admitted or Licensed; Unauthorized Practice of Law
	46Hk83	Prohibited and Permitted Acts in General
	46Hk87	Drafting or preparation of documents
	(Formerly 45k12(26), 45k11(13) Attorney and Client)	
		
1 Case that cites this headnote	212	Injunction
	212IV	Particular Subjects of Relief
	212IV(L)	Trade or Business
	212k1370	Attorneys; unauthorized practice of law
	(Formerly 212k89(5))	

Attorneys and Law Firms

****1240** [John A. Hallbauer](#), Cleveland, for relator.

Opinion

PER CURIAM.

456** {¶ 1} On November 3, 2003, relator, [Cleveland Bar Association](#), charged respondents, *1241** [Para-Legals, Inc.](#), and Jay LeVert and Leah Hampton, both associated with the company, with engaging in the unauthorized practice of law.

{¶ 2} Relator attempted to serve respondents with the complaint by certified mail, but respondents did not sign the receipts. Thus, pursuant to [Gov.Bar R. VII\(10\)](#), service was obtained by ordinary mail evidenced by a certificate of mailing. Respondents did not answer the complaint, and relator moved for default. See [Gov.Bar R. VII\(7\)\(B\)](#). The Board on the Unauthorized Practice of Law granted the motion and made findings of fact, conclusions of law, and a recommendation to enjoin respondents' acts constituting the unauthorized practice of law.

{¶ 3} We remanded this cause on February 25, 2005, for the board to supplement the reasoning for its recommendation. [Cleveland Bar Assn. v. Para-Legals, Inc.](#), 105 Ohio St.3d 1448, 2005-Ohio-762, 823 N.E.2d 453. The cause is thus before us for the second time. Upon review, we adopt the board's findings of fact, conclusions of law, and recommended injunction. We also agree that the monetary sanction authorized by Gov.Bar VII(8)(B) is inappropriate.

{¶ 4} According to its articles of incorporation, [Para-Legals, Inc.](#) was formed to provide legal research, document preparation, and other ancillary services to law firms, individual attorneys, and the general public. It is unclear whether LeVert is the corporation's president or some other principal. Hampton was an employee.

{¶ 5} Neither LeVert nor Hampton has been admitted to the practice of law in Ohio, a fact that [Para-Legals, Inc.](#) advertised on its l



Attorneys, We Just Do All Of The Work!" While doing business as Para-Legals, Inc., however, LeVert entered into a "special power of attorney" that purported to grant LeVert the authority to directly represent CSI Merchant.Com, d.b.a. Cardservice of Atlantic ("CSI"), a Florida corporation, before the Municipal Court of Elyria Ohio, Small Claims Division. CSI's president retained Para-Legals, Inc. because he thought that paralegals were authorized in Ohio to represent members of the public in small legal matters. The CSI president paid LeVert \$240, but later learned that an adverse judgment had been entered against CSI because no one had appeared on the corporation's behalf at a court hearing. CSI eventually had to satisfy the judgment.

{¶ 6} Also acting as an employee of Para-Legals, Inc., Hampton prepared without professional supervision a petition for dissolution of marriage, a marital settlement agreement, and related papers for Clare Gray and Van Gray that were filed in the Cuyahoga County Domestic Relations Court. The court later determined that none of the Grays' filings established a valid waiver of service for ¶457 Van Gray, who was apparently incarcerated at the time. Hampton charged \$200 for her work.

1 2 {¶ 7} Section 2(B)(1)(g), Article IV, Ohio Constitution confers on this court original jurisdiction regarding admission to the practice of law, the discipline of persons so admitted, and all other matters relating to the practice of law. *Royal Indemn. Co. v. J.C. Penney Co., Inc.* (1986), 27 Ohio St.3d 31, 34, 27 OBR 447, 501 N.E.2d 617; *Judd v. City Trust & Sav. Bank* (1937), 133 Ohio St. 81, 10 O.O. 95, 12 N.E.2d 288. And with few exceptions, including *Cleveland Bar Assn. v. Pearlman*, 106 Ohio St.3d 136, 2005-Ohio-4107, 832 N.E.2d 1193 (allowing a nonlawyer to prepare and file a complaint in small claims court on behalf of a corporation of which the nonlawyer is a company officer), **1242 the unauthorized practice of law occurs when a layperson renders legal services for another, including the management of actions and proceedings on behalf of clients before courts of law. Gov.Bar R. VII(2)(A); *Richland Cty. Bar Assn. v. Clapp* (1998), 84 Ohio St.3d 276, 278, 703 N.E.2d 771. The unauthorized practice of law also includes the preparation for another of legal pleadings and other papers by a layperson without the supervision of a licensed attorney. *Id.*; *Cleveland Bar Assn. v. Coats*, 98 Ohio St.3d 413, 2003-Ohio-1496, 786 N.E.2d 449, ¶ 3.

3 4 {¶ 8} Respondents Para-Legals, Inc. and LeVert engaged in the unauthorized practice of law by attempting to represent the Florida corporation in municipal court through the sham authority of a power of attorney. *Disciplinary Counsel v. Coleman* (2000), 88 Ohio St.3d 155, 724 N.E.2d 402. And as an employee of Para-Legals, Inc., Hampton also engaged in the unauthorized practice of law by preparing legal documents for another for filing in the domestic relations court without a licensed lawyer's oversight. *Columbus Bar Assn. v. Purnell* (2002), 94 Ohio St.3d 126, 760 N.E.2d 817; *Coats*, 98 Ohio St.3d 413, 2003-Ohio-1496, 786 N.E.2d 449.

5 {¶ 9} The board considered the factors listed in Gov.Bar R. VII(8)(B)(1) through (5) before recommending against a civil penalty. The board observed that respondents had practiced law without a license only a minimal number of times and had apparently stopped advertising their unlawful services shortly after relator filed the complaint against them. The board also determined that these isolated instances did not reveal a pattern of conduct warranting anything more than injunctive relief.

{¶ 10} We therefore find that respondents engaged in the unauthorized practice of law. Respondents are hereby enjoined from lay attempts (1) to represent others in court pursuant to powers of attorney, (2) to prepare court documents for another without professional supervision, and (3) to engage in other acts constituting the practice of law. Costs are taxed to responder

Judgment accordingly.

^{*458} MOYER, C.J., RESNICK, PFEIFER, LUNDBERG STRATTON, O'CONNOR and LANZINGER, JJ., concur.

O'DONNELL, J., concurs separately.

Concurrence

O'DONNELL, J., concurring.

{¶ 11} I write separately to express my view that the court should revisit the position it established in *Cleveland Bar Assn. v. Pearlman*, 106 Ohio St.3d 136, 2005-Ohio-4107, 832 N.E.2d 1193, allowing members of a limited liability company to represent separate entities in courts of law.

{¶ 12} As I set forth in my dissenting opinion in *Pearlman*, *id.* at ¶ 33–36, I would offer that the proper standard to be used in resolving questions regarding the unauthorized practice of law should not be whether the individual appeared in court as a member of a limited liability company, or, as here, in accordance with a written power of attorney. Rather, the test should be whether the individual is acting in a representative capacity on behalf of a separate legal entity capable of suing and being sued in the state of Ohio. In *Disciplinary Counsel v. Givens*, 106 Ohio St.3d 144, 2005-Ohio-4104, 832 N.E.2d 1200, our court unanimously precluded an officer of a nonprofit organization from representing that entity in a court of law, thereby requiring the nonprofit organization to retain counsel to present matters on its behalf in court.

Accordingly, it should be of no consequence that Pearlman is a 99 percent ^{**1243} member (akin to a majority shareholder) of a limited liability company, that Givens is the director, chief executive officer, and statutory agent for a nonprofit organization or, as in this case, that individuals acted on behalf of a corporation pursuant to a power of attorney. Here, both Para-Legals, Inc. and LeVert acted in a representative capacity on behalf of CSI Merchant.Com, d.b.a. Cardservice of Atlantic, and have, in my view, engaged in the unauthorized practice of law. By adopting a test involving the capacity in which individuals appear in court, we can better explain to our citizenry, to organizations conducting affairs in our state, and to the legal profession what does and does not constitute the unauthorized practice of law.

All Citations

106 Ohio St.3d 455, 835 N.E.2d 1240, 2005 -Ohio- 5519

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